

FEDERAL MARITIME COMMISSION

Washington, D.C.

Docket No. 21-02

YSN IMPORTS INC. d/b/a FLAME KING, Complainant

v.

FEIGE “PEGGY” OBERLANDER, U SHIPPERS GROUP INC., U SHIPPERS GROUP
MANAGEMENT CO., INC., Respondents.

**RESPONDENTS’ REPLY ON MOTION TO
DISMISS THE COMPLAINT**

Respondents Feige “Peggy” Oberlander, U Shippers Group Inc. (the “Association”), U Shippers Group Management Co., Inc. (“Management”) (all three Respondents collectively “Respondents”) hereby reply on their motion for dismissal of the Complaint brought by YSN Imports Inc. d/b/a Flame King (“YSN”).

I. Introduction

YSN repeatedly conflates wrongful activity with violations of the Shipping Act – the only claim that the Commission has jurisdiction to review. One basic question controls this motion: has YSN alleged a plausible, not conclusory, allegation that the Association has violated the Shipping Act by operating on a “for profit” basis? As we show here, the answer is no. Therefore, YSN’s Complaint should be dismissed.

II. YSN Has Failed To Plead A Plausible Violation Of The Shipping Act

YSN concedes that to survive the motion to dismiss, it must show a violation of the Shipping Act, not merely a breach of contract or other duty. (Opp. Br. 8-9). It also concedes that its only attempt to do so is by showing that the Association is not being operated “on a nonprofit

basis for the members of the group.” 46 U.S.C. § 40102 (24). (Opp. Br. 9).¹ Without a properly pleaded allegation to that effect, YSN’s Complaint before the Commission fails.

A. The 12(b)(6) Standard Requires YSN To Plead Sufficient Well-Pleaded Facts To Make Out A Plausible Case Of A Violation Of The Shipping Act

YSN concedes that the standard for determining this motion is that adopted by the Supreme Court in *Bell Atlantic Corp. v. Twombly*, 550 U.S. 544 (2007) and *Ashcroft v. Iqbal*, 556 U.S. 662 (2009). Under that standard, “[t]o survive a motion to dismiss, a complaint must contain sufficient factual matter, accepted as true, to ‘state a claim to relief that is plausible on its face.’” *Iqbal*, 556 U.S. at 678. This obligation “requires more than labels and conclusions, and a formulaic recitation of the elements of a cause of action will not do.” *Twombly*, 550 U.S. at 555. The Commission “need not . . . accept inferences drawn by a plaintiff if such inferences are unsupported by the facts set out in the complaint.” *Nurridin v. Bolden*, 818 F.3d 751, 756 (D.C. Cir. 2016). Nor must it “accept legal conclusions couched as factual allegations.” *Id.* (citing *Iqbal*, 556 U.S. at 678).

In discharging this obligation, YSN must point to allegations contained in its Complaint, and cannot supplement them with new allegations in its opposition papers. “[I]t is axiomatic that the complaint may not be amended by the briefs in opposition to a motion to dismiss.” *Langston v. San Jacinto Jr. College*, 25 F.Supp.3d 1009, 1016 (S.D. Tex. 2014) (citing *Roebuck v. Dothan Sec., Inc.*, 515 Fed. Appx. 275, 280 (5th Cir.2013)). Thus “[i]n determining the propriety of a Rule 12(b)(6) dismissal, a court may not look beyond the complaint to a plaintiff’s moving papers, such as a memorandum in opposition to a defendant’s motion to dismiss.” *Schneider v. California Dept.*

¹ YSN’s attempt to tease out four separate violations of the Shipping Act from its allegations (Opp. Br. 9) ignores the fact that three of these supposed violations are grounded in its claim that the Association is being run “for profit.” The fourth is not a violation at all, but merely a statement that YSN has been damaged and seeks reparations. (*See id.*) Without an adequate allegation that the Association is being run “for profit,” none of YSN’s allegations show a violation of the Shipping Act.

of Corrections, 151 F.3d 1194 n. 1 (9th Cir. 1998). *Accord Shanahan v. City of Chicago*, 82 F.3d 776, 781 (7th Cir. 1996); *Carter v. Carson*, 241 F.Supp.3d 191, 197 (D.D.C. 2017). As set forth below, YSN attempts to defend its Complaint by making new (and conclusory) allegations not contained therein. This is improper and not a basis to avoid dismissal.

Finally, YSN's assertion that "material facts are in dispute" (Opp. Br. at 6) misses the mark. At the pleading stage, it is not enough for YSN to point out that it disputes some of the statements in Feige Oberlander's Declaration. Even if every single fact there is disputed (and YSN does not argue that), YSN still must assert a plausible violation of the Shipping Act, which it has failed to do. The very reason the Supreme Court instituted the plausibility standard is to avoid the burden and expense of factual investigation during discovery. *See Iqbal*, 556 U.S. at 678-79; *Twombly*, 550 U.S. at 545-46. "Rule 8 marks a notable and generous departure from the hypertechnical, code-pleading regime of a prior era, but it does not unlock the doors of discovery for a plaintiff armed with nothing more than conclusions." *Iqbal*, 556 U.S. at 678-79.

B. YSN's "For Profit" Claim Is Wholly Dependent On Piercing The Corporate Veil

YSN asserts that its claims against the Association are independent of its veil-piercing claims, and that the latter was only asserted to extend the Commission's jurisdiction to Management and Oberlander. (Opp. Br. 12-13). This is not so. The mere intonation of the phrase "for profit" as applied to the Association does not suffice to make out a claim that the Association has failed to operate "on a nonprofit basis for the members of the group." 46 U.S.C. § 40102 (24). As discussed, under the *Iqbal/Twombly* standard the Commission is not required to "accept legal conclusions couched as factual allegations." *Nuriddin v. Bolden*, 818 F.3d at 756. Alleging that the Association is being run "for profit" is a mere legal conclusion and, by itself, is inadequate to state a claim.

The only well-pleaded factual allegations to support this conclusion are based on extra fees that the Association incurred to Management for allegedly unneeded services. (Complaint IV.B.61-63 at 14). Thus, the Complaint asserts that the Association intends to charge “additional fees” above and beyond what is in the (alleged) contract; to use these fees to pay “substantial management fees” and that these “additional fees imposed by the Association are compelling evidence of its distinctly ‘for-profit’ and opportunistic decision to deprive its Members of the benefits of the Service Contract during an acute market disruption caused by COVID-19.” (*Id.*) In other words, all of the alleged “additional” charges are used to pay fees to Management, and then, supposedly, Oberlander, as Management’s principal, profits from those fees.

Respondents relied upon the First Circuit’s legal definition of non-profit as requiring proof that the entity did “not distribute profits to stockholders or others.” (Resp. Br. 10-11, *citing Zimmerman v. Cambridge Credit Counseling Corp.*, 409 F.3d 473, 478 (1st Cir. 2005)). YSN nowhere disputes that this is the legal standard nor does it offer a different one. Instead, it claims to have met the standard, because “the Association is distributing profits from the ‘additional fees’ (over and above the service contract rates) to Oberlander and Management instead of conferring those benefits on its members.” (Opp. Br. 14). But this does not meet the test – the allegation here is *not* that the fees are being distributed to Oberlander and the Management because they are shareholders or hold some other interest in the Association. Rather, what is alleged is that they are overcharging for unnecessary services. That does not render the Association a “for profit” entity, unless one combines the Association with Management and Oberlander through corporate veil-piercing to determine that the combined entity is being run “for profit.”

To illustrate, if Management and Oberlander determined to incur fees for services to a completely unrelated entity, and YSN alleged that these fees were wholly unnecessary, that would

arguably be mismanagement of the Association and perhaps a breach of Oberlander's duties as director. But, it would not render the Association "for profit" for the simple reason that the Association itself would not be making any profit, even if the decision to incur such fees was questionable.

The same applies here. YSN nowhere challenges the assertion that neither Management nor Oberlander are required by the Shipping Act to operate on a non-profit basis. (Resp. Br. 8) The fact that the Association pays fees to Management, which in turn is alleged to generate profits for its principal, Oberlander, does not constitute a violation of the Shipping Act. And, that the director of a non-profit entity allegedly engages in self-dealing does not *ipso facto* render the non-profit into a for-profit entity. Thus, only by combining all three Respondents through veil-piercing do the allegations of the Complaint plausibly allege that the Association is violating the Shipping Act by operating on a "for-profit" basis.

If, as YSN now argues, the veil-piercing allegations are merely to extend jurisdiction of the Commission to Management and Oberlander (Opp. Br. 12-13), then, at a minimum, the Commission will have to dismiss Management and Oberlander if the veil-piercing allegations are conclusory and inadequate, which they are. *Cf. Logfret Inc. v. Kirsha B.V.*, 2019 WL 460188, *5 (F.M.C. 2019) ("The Commission has no statutory or regulatory authority to oversee a person or entity that does not conduct activities that squarely fall under the Act." Dismissing parties whose activities did not bring them within the statutorily defined regulated actors.) Stripped of the inadequate veil-piercing allegations, all that remains is YSN's claim that the Association incurred fees to Management. That alone does not render the Association a "for profit" entity nor does it violate the Shipping Act.

In short, the only plausible allegation that the Association is being run “for profit” is based on piercing the corporate veil and combining its ledger with that of Management and Oberlander. However, the veil-piercing allegations are conclusory and inadequate.

C. YSN’s Veil-Piercing Allegations Are Conclusory And Inadequate

YSN cites to an unpublished district court decision (Opp. Br. 15) that it claims is the federal maritime law standard for veil piercing. Tellingly, it fails to cite the published Second Circuit decision cited by its own case, *Williamson v. Recovery Ltd. Partnership*, 542 F.3d 43 (2d Cir. 2008), which fully elucidates that standard:

The prerequisites for piercing a corporate veil are as clear in federal maritime law as in shoreside law: The individual must have used the corporate entity to perpetrate a fraud or have so dominated and disregarded the corporate entity’s corporate form that the corporate entity primarily transacted the individual’s personal business rather than its own corporate business.” To determine whether an individual so dominated and disregarded a corporate entity’s corporate form, a court may consider several factors, including: “(1) the intermingling of corporate and personal funds, (2) undercapitalization of the corporation, and (3) failure to maintain separate books and records or other formal legal requirements for the corporation.”

Id. at 53.

Nowhere does YSN allege that Oberlander and Management have used the Association to perpetrate a fraud. Instead, YSN relies on the domination prong of the standard. (*See* Opp. Br. 16). Under this prong, YSN must allege and prove that Oberlander and Management “have so dominated and disregarded the [Association’s] corporate entity’s corporate form that the corporate entity primarily transacted [their own] business rather than its own corporate business.”

Nowhere in YSN’s Complaint are *any* of the factors mentioned in *Williamson* alleged. There is no allegation that there has been intermingling of the parties’ funds, inadequate capitalization, nor failure to maintain separate books and records. Absent such allegations, the veil-piercing claims are wholly inadequate.

YSN baldly asserts that its Complaint’s allegations “also demonstrate factors that weigh in favor of a finding that two entities are alter egos, namely that there is an (1) overlap in staff, officers, and directors - Oberlander dominates the Association, (2) Management and Oberlander do not operate at arms-length from the Association; (3) there are blurred lines of corporate control and intermingled financial transactions because the fees the Association is charging are intended for affiliates of the Association, which are under common ownership and control with the Association, including Management, of which Respondent Oberlander holds all equity interests. (Compl. IV.B. ¶ 62.)” (Opp Br. 15)

But a review of the actual language of YSN’s Complaint, however, establishes that this assertion is pure fiction. The only allegation actually included in the cited ¶ 62 is that the Association and Management are under “common ownership and control” (Complaint IV.B.62 at 14). YSN’s attempt to mislead the Commission and inflate this allegation with additional, unsubstantiated charges in its Opposition brief (Opp. Br. 15) must be rejected on this motion. As discussed above, “the complaint may not be amended by the briefs in opposition to a motion to dismiss.” *Langston*, 25 F.Supp.3d at 1016. Thus all that YSN has is an allegation of common ownership and control.

But common control by itself is not sufficient to make out a case for veil piercing. *Williamson*, 542 F.3d at 53 (finding insufficient “generalized assertions in the attorney-verified complaint in this action, unsworn court filings in related actions, and documentation showing common business addresses and management”); *Louis Dreyfus Co. Freight Asia Pte LTD v. Uttam Galva Metallics Ltd.*, 256 F. Supp. 3d 509, 513 (S.D.N.Y. 2017) (undisputed that two entities “have significant common ownership and directors, shared office space, and some limited inter-

company guarantees. Without more, however, these sorts of factors, while relevant, are insufficient to allow veil-piercing under a domination theory.”)

The case cited by YSN, *Liberty Highrise Pvt. Ltd. v. Praxis Energy Agents DMCC*, 2021 WL 1226873, * 4 (S.D.N.Y. 2021) is not to the contrary. While that case relied, in part, on allegations of common ownership and control, it also noted allegations that one entity had received payment for goods supplied by the other, “a paradigmatic example of an intermingled financial transaction.” *Id.* *Liberty Highrise* is thus perfectly consistent with *Williamson* and *Louis Dreyfus*; common management and control, while relevant, are by itself insufficient to make out a case for veil-piercing under the federal maritime standard.

YSN’s Complaint does no more than allege common ownership and management of the Association and Management. That is not sufficient to make out a case for veil-piercing.

III. YSN’s Request For Equitable Relief Fails Both For Lack Of Commission Authority And Lack Of YSN Standing

Respondents pointed out in their initial brief that the Commission lacks authority to order the prospective equitable relief requested by YSN. (Resp. Br. 13). In response, YSN merely argues that its requested relief differs from that considered in *Brewer v. Maralan*, 2001 WL 122035, at *5 (F.M.C. 2001). That the equitable relief requested there differs from that requested by YSN here does not change the holding that the Commission lacked the power to order equitable relief. Indeed, if the Commission cannot order a party to return the complainant’s cargo free of charge (the holding in *Brewer*), then it certainly lacks authority to require the Association to provide services, in perpetuity, for \$55 as YSN requests. And, notably, YSN utterly ignores the argument that under 46 U.S.C. § 41306, a party seeking equitable relief must file an action in an appropriate federal district court. (Resp. Br. 13).

True, the Commission can issue a cease-and-desist order, but YSN's requested relief goes far beyond such an order. Accordingly, that part of YSN's Complaint must be dismissed.

Even as to a cease-and-desist order, YSN lacks standing. As pointed out by Respondents, YSN admitted that it was terminated in February 2021 for reasons unconnected to its allegations of the Association being operated on a "for profit" basis. (Resp. Br. 13). YSN attempts to deflect the point by arguing that the expulsion was "retaliatory for refusing to pay the for-profit fees." (Opp. Br. 18). But that is nowhere alleged in YSN's Complaint, and as repeatedly noted here, YSN cannot defend its Complaint by making new allegations in its Opposition Brief.

YSN does allege, in conclusory fashion, that Respondents "have sought to pre-textually expel Complainant from the Association," (Complaint V.D.1), but such conclusory allegations fail to address the substance of the stated reason for YSN's termination, excessive and disproportionate bookings. YSN nowhere denies that it made such bookings, nor that YSN's improper bookings are not a legitimate reason for its termination. The Complaint currently lacks a plausible allegation that there was anything improper about YSN's termination. Nor does it have any request that the Commission order YSN reinstated, nor does the Commission have the authority to issue such an order.

YSN accordingly has been terminated as a member of the Association. It therefore has no interest in how the Association is run going forward. Since any such relief will have no effect on YSN's business, there is no basis for it to request such relief. *See Federal Maritime Commission v. Seatrain Lines, Inc.*, 411 U.S. 726, 730 (1973).

IV. YSN Has Failed To Make Out A Claim For Reparations Under The Statute

In their initial brief, Respondents pointed out that the Complaint does not assert that YSN ever *paid* the allegedly excessive, "for profit" fees. (Resp. Br. 12). YSN nowhere disputes this

assertion. It thus obviously cannot be awarded reparations for allegedly improper fees it never paid.

Instead, YSN argues that it should be awarded reparations because it “was deprived of access to favorable rates in the service contract with Maersk, and that it has suffered substantial economic losses by being forced to pay spot market rates for the lost bookings rescinded under the service contract with Maersk. (Compl. V.D.)” (Opp. Br. 17). But a review of YSN’s allegations and the applicable law indicates that this claim for reparations is defective as well.

A. The Shipping Act Only Permits Reparations For Damages Proximately Caused By Violations Of The Shipping Act

The Shipping Act grants the Commission the power to order “reparations for an injury to the complainant caused by the violation [of the Act].” 46 U.S.C. § 41301. There is a strong presumption that such statutory damages provisions incorporate the common law concept of proximate causation. As the Supreme Court has made clear:

It is a “well established principle of the common law that in all cases of loss, we are to attribute it to the proximate cause, and not to any remote cause.” [citation omitted] We assume Congress “is familiar with the common-law rule and does not mean to displace it sub silentio ” in federal causes of action. [citation omitted] A claim for damages under the [Fair Housing Act] — which is akin to a “tort action,” [citation omitted] — is no exception to this traditional requirement. “Proximate-cause analysis is controlled by the nature of the statutory cause of action. The question it presents is whether the harm alleged has a sufficiently close connection to the conduct the statute prohibits.”

Bank of Am. Corp. v. City of Miami, Fla., 137 S. Ct. 1296, 1305 (2017). Indeed, the statutory phrase in the Shipping Act – “caused by” – also appears in the admiralty jurisdiction statute, and that phrase is generally construed to mean proximate causation. See *Jerome B. Grubart, Inc. v. Great Lakes Dredge & Dock Co.*, 513 U.S. 527, 536 (1995). See also *James J. Flanagan Shipping Corp. v. Lake Charles Harbor and Terminal District*, 2003 WL 27376211, at *8 (FMC 2003)

(under separate section of statute, “damages must be the proximate result of violations of the statute in question.”) (*citing Waterman v. Stockholms Rederiaktiebolag Svea*, 3 F.M.B. 248, 249 (1950))

To establish proximate causation, mere foreseeability of the injury is not enough. *Bank of Am. Corp.*, 137 S. Ct. at 1306. “Rather, proximate cause . . . requires some direct relation between the injury asserted and the injurious conduct alleged.” *Id.* And, of course, the “injurious conduct” means the statutory violation. *See id.* “The general tendency in these cases, in regard to damages at least, is not to go beyond the first step.” *Id.*

B. YSN’s Reparation Theory Fails Proximate Causation

A review of Section V.D. of YSN’s Complaint (at 18-19) shows why YSN’s claim fails to establish proximate causation. First, YSN alleges that Respondents have both “acted in violation of the [Shipping] Act” *and* “have sought to pre-textually expel Complainant from the Association.” (Complaint V.D.1). These acts allegedly “depriv[ed] Complainant of access to favorable rates in the Service Contract.” (*Id.*) As a result, “Complainant has suffered and will suffer substantial economic losses by being forced to pay spot market rates for the lost bookings rescinded under the Service Contract by Maersk, and for future bookings under the Service Contract.” (Complaint V.D.2)

These allegations are defective for several reasons. First, even as stated, the alleged loss is a result of two actions, violations of the Shipping Act, and the “pre-textual” expulsion of YSN from the Association. As noted above, the latter is conclusory, and in any event, termination of a member is not a violation of the Act. Thus, YSN’s Complaint alleges injuries with two different causes, the second of which is not a statutory violation. This is simply not “an injury to the complainant caused by the violation [of the Shipping Act].” 46 U.S.C. § 41301.

Second, it is difficult to see how the alleged violation – charging improper “for profit” fees – would itself cause YSN to be deprived of anything. Prior to its termination in February 2021, YSN had access to shipping space through the Association. It merely had to pay fees that it did not want to pay. YSN may have *chosen*, for economic reasons or otherwise, to not use the Association but instead to “pay spot market rates” to other sources. But that was not proximately caused by the charging of the fees, but its own choice.

It is telling that in describing its injuries in its own summary, YSN focuses solely on its expulsion:

Complainant also seeks an order directing Respondents to pay reparations for bookings that Complainant was entitled to make at the service contract rates obtained by the Association, but for which Complainant was forced to pay higher rates due to Respondents' wrongful conduct in denying access to the service contract and expelling claimant from the Association in violation of the Act and the Commission's regulations.

(Opp. Br. at 1-2). But, again, until it was terminated, YSN was not denied access to anything. YSN’s injuries flow from its being terminated, not the allegedly improper “for profit” fees.

In short, the Association’s alleged violation of the Act does not have a “direct relation” to YSN’s voluntary, economic decision to use other sources of shipping space. YSN’s damages theory fails the proximate causation test, and thus cannot be the basis for a reparations award for the injuries it alleges.

CONCLUSION

For the foregoing reasons, and for the reasons set forth in Respondents' initial motion papers, YSN's Complaint should be dismissed with prejudice.

Dated: June 18, 2021
New York, New York

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CERTIFICATE OF SERVICE

The undersigned hereby certifies that on the execution date which appears below, the undersigned served the attached document on counsel for Complainant at the following address(es):

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